

BUSINESS RESPONSIBILITY REPORT

SECTION A:

GENERAL INFORMATION ABOUT THE COMPANY

- 1. Corporate Identity Number (CIN) of the Company**
L24110MH1947PLC005719
- 2. Name of the Company**
Piramal Enterprises Limited (the 'Company' or 'PEL')
- 3. Registered address**
Piramal Ananta, Agastya Corporate Park, Opposite Fire Brigade, Kamani Junction, LBS Marg, Kurla (West), Mumbai – 400 070
- 4. Website**
<https://www.piramal.com>
- 5. E-mail ID**
complianceofficer.pel@piramal.com
- 6. Financial Year reported**
April 1, 2021 to March 31, 2022
- 7. Sector(s) that the Company is engaged in (industrial activity code-wise)**
 - 210: Manufacturing of pharmaceuticals, medicinal, chemical and botanical products
 - 649: Other Financial service activities, except insurance and pension funding
- 8. List three key products/ services that the Company manufactures/ provides (as in balance sheet)**
Pharmaceuticals and Financial Services
- 9. Total number of locations where business activity is undertaken by the Company**
 - a) Number of International locations: None
 - b) Number of National location: One, Mahad

Business activity is also undertaken by subsidiaries of the Company at various national and international locations.
- 10. Markets served by the Company – Local/ State/ National/ International**
The Company serves Local, State, National and International markets.

SECTION B: FINANCIAL DETAILS OF THE COMPANY

Paid-up capital (₹)	47,73,27,400
Total turnover (₹)	2,225.68 Crores
Total profit after tax (₹)	572.28 Crores
Total spending on Corporate Social Responsibility (CSR) as percentage of Profit after Tax (%)	As disclosed in the Board's Report forming part of this Annual Report
List of the activities in which above expenditure has been incurred	Donation towards: 1. Education (State Transformation Programme) 2. Education (District Transformation Programme)

SECTION C: OTHER DETAILS

- 1. Does the Company have any Subsidiary Company/ Companies?**
Yes, PEL has subsidiary companies in India and Overseas.
- 2. Do the Subsidiary Company/Companies participate in the BR Initiatives of the parent company? If yes, then indicate the number of such subsidiary company(s)**
The subsidiary companies conduct their standalone business responsibility ('BR') initiatives, independent of PEL.
- 3. Do any other entity/entities (e.g., suppliers, distributors etc.) that the Company does business with, participate in the BR initiatives of the Company? If yes, then indicate the percentage of such entity/entities? [Less than 30%, 30-60%, More than 60%]**
Business Responsibility ('BR') at PEL not only pertains to the Company, but also extends to its value chain partners. The current participation rate of PEL's partners in the BR initiatives of the Company is less than 30%. PEL has a Creating Optimal and Responsible Environment ('CORE') programme through which the Company builds the capacity of supply chain partners to implement sustainable business practises. The Company endeavours to engage vendors and suppliers on responsible business practices by leveraging various platforms.

SECTION D: BR INFORMATION

- 1. Details of Director/Directors responsible for BR**
 - a) Details of the Director/Directors responsible for implementation of the BR policy/ policies**

Name	DIN	Designation
Mr. Vijay Shah	00021276	Non-Executive Director

Note: Mr. Vijay Shah was appointed as the Director responsible for implementation of Business Responsibility Policies with effect from March 11, 2022 in place of Mr. Rajesh Laddha.

- b) Details of BR Head**

DIN (if applicable)	Not Applicable
Name	Mr. Bipin Singh
Designation	Company Secretary and Compliance Officer
Telephone number	(91 22) 3802 3000/4000
E-mail ID	complianceofficer.pel@piramal.com

2. Principle-wise (as per National Voluntary Guidelines ['NVG']) BR Policy/Policies

a) Details of compliance (Reply in Y/N)

Sl. No.	Questions	P 1	P 2	P 3	P 4	P 5	P 6	P 7	P 8	P 9
1	Do you have a policy/policies for:	Y	Y	Y	Y	Y	Y	Y	Y	Y
2	Has the policy been formulated in consultation with relevant stakeholders?	Y	Y	Y	Y	Y	Y	Y	Y	Y
3	Does the policy confirm to any national/international standards? If yes, specify? (50 words)	Y	Y	Y	Y	Y	Y	Y	Y	Y
4	Has the policy been approved by the Board? Is yes, has it been signed by MD/owner/CEO/appropriate Board Director?	Y	Y	Y	Y	Y	Y	Y	Y	Y
5	Does the Company have a specified committee of the Board/Director/Official to oversee the implementation of the policy?	Y	Y	Y	Y	Y	Y	Y	Y	Y
6	Indicate the link for the policy to be viewed online?	Y	Y	Y	Y	Y	Y	Y	Y	Y
7	Has the policy been formally communicated to all relevant internal and external stakeholders?	Y	Y	Y	Y	Y	Y	Y	Y	Y
8	Does the Company have in-house structure to implement the policy/policies?	Y	Y	Y	Y	Y	Y	Y	Y	Y
9	Does the Company have a grievance redressal mechanism related to the policy/policies to address stakeholders' grievances related to the policy/policies?	Y	Y	Y	Y	Y	Y	Y	Y	Y
10	Has the Company carried out independent audit/evaluation of the working of this policy by an internal or external agency?	Y	Y	Y	Y	Y	Y	Y	Y	Y

b) If answer against any principle, is 'No', please explain why:
Not Applicable.

3. Governance related to BR

a) Indicate the frequency with which the Board, Committee of the Board or CEO assess the BR performance of the Company. Within 3 months, 3-6 months, Annually, More than 1 year.

The Company's BR performance is reviewed annually by the Board.

b) Does the Company publish a BR or a Sustainability Report? What is the hyperlink for viewing this report? How frequently it is published?

Yes, the Business Responsibility Report has been published along with the Annual Report of PEL for financial year 2021-22 and it can be viewed at <https://www.piramal.com/investor/overview>.

PEL is committed to upholding the highest standard of ethics which is highlighted in its below mentioned policies:

Code of Conduct: The PEL Code of Conduct for the Board of Directors, PEL Code of Conduct for Senior Management and PEL Code of Conduct and Ethics for employees ('PEL Code of Conduct') are testaments to the Company's efforts to ensure that honesty and ethical conduct are never compromised at any level, while promoting professionalism within the Company. These policies guide the employees of PEL and Board Members to uphold the highest levels of Corporate Governance and adhere to relevant laws and regulations.

Whistle-Blower Policy: PEL has a robust vigil mechanism established by its Whistle-Blower Policy. The mechanism allows employees to report grievances on a dedicated email ID. Any grievances raised are then addressed by the Audit & Risk Management Committee of the Board.

Business Code of Conduct for Supplier ('BCFS'): PEL's core values of Knowledge, Action, Care and Impact serve as guiding principles not only for the Company, but also for its stakeholders. PEL considers the core values as an integral part of its value creation process. The Company's BCFS ensures that the suppliers, vendors and sub-vendors comply with Company norms.

2. How many stakeholder complaints have been received in the past financial year and what percentage was satisfactorily resolved by the management? If so, provide details thereof, in about 50 words or so.

PEL provides a structured mechanism for its stakeholders to freely share their concerns. PEL has established various committees to address the needs, grievances or complaints of

SECTION E: PRINCIPLE-WISE PERFORMANCE

Principle 1: Businesses should conduct and govern themselves with Ethics, Transparency and Accountability

1. Does the policy relating to ethics, bribery and corruption cover only the Company? Yes/No. Does it extend to the Group/ Joint Ventures/ Suppliers/ Contractors/ NGOs/ Others?

No, the policies relating to ethics, bribery and corruption extend beyond the Company. The values that lead PEL's unique culture are exemplified in the Company's purpose "Doing Well and Doing Good". PEL believes that responsible and ethical business conduct is a source of the Company's success and organisational growth.

stakeholders. Designated committees investigate and address any complaints raised by stakeholders. For instance, the Stakeholder's Relationship Committee assesses and reviews grievances of shareholders and debenture holders on a regular basis, the Audit & Risk Management Committee is responsible for addressing complaints from whistle-blowers and an Internal Complaints Committee is in place which addresses complaints of sexual harassment.

The Company has not received any complaints pertaining to the Whistle-Blower Policy or complaints relating to sexual harassment in FY 2021-22. For details of investor grievances, please refer to the 'Stakeholders Grievance Redressal' section in the Report on Corporate Governance.

Principle 2: Businesses should provide goods and services that are safe and contribute to sustainability throughout their life cycle

1. List up to 3 of your products or services whose design has incorporated social or environmental concerns, risks and/or opportunities.

As a responsible organisation, PEL continuously endeavours to address environmental issues by conserving resources. The Company strives to analyse the negative impact of its products on the environment and takes consistent efforts to minimise them. While manufacturing the following products, PEL had taken into consideration the environmental concerns, risks and/or opportunities and contribution of these products to sustainability throughout their life cycle:

- a. Daily Supradyn
- b. Becozym
- c. Saridon
- d. Vitamin and mineral premixes

2. For each such product, provide the following details in respect of resource use (energy, water, raw material etc.) per unit of product (optional):

- (a) Reduction during sourcing/production/distribution achieved since the previous year throughout the value chain?
- (b) Reduction during usage by consumers (energy, water) has been achieved since the previous year?

PEL is committed to using natural resources responsibly. It takes consistent efforts to source, produce and design its products in a manner that results in conservation of resources, including water and energy. Some examples are as follows:

Supradyn & Becozym:

These multivitamin tablets help in building energy, boosting the immune system and developing a good appetite. These tablets are effective as multivitamin supplements comprising of essential elements, minerals and trace elements required for a human body.

Technical Improvements include, installation of Steam Operated Pumping Traps ('SOPT') and temperature control systems for Fluidised Bed Dryers ('FBD'). Initially, thermodynamic traps were installed at the outlet of the steam line in FBD due to which, excess

steam was consumed as these traps were unable to remove the steam condensate efficiently. As a result, reaching the requisite temperature was taking a longer duration leading to excess consumption of steam. Through the installation of SOPTs, steam condensate was efficiently removed. Further, pneumatic control valves were replaced with positioners to control the temperature in FBDs in a precise manner. This is an ongoing project that has resulted in saving 90,588 Kg of steam throughout FY2021-22.

Saridon:

Saridon is used to treat mild fever and relieve pain. It acts as a mild analgesic medicine that is primarily used as a pain reliever to ease body ache and headache.

Horizontal deployment of FBD was done for SOPTs in the Saridon manufacturing process. As a result, steam condensate is being efficiently removed which has resulted in saving 1,15,294 Kg of steam throughout FY 2021-22.

Vitamin and Mineral Premixes:

Vitamin and mineral premixes are used as a remedy for malnutrition in developing countries. The premixes are distributed to the United Nations Children's Fund ('UNICEF') and World Food Programme ('WFP') as a social cause.

Most of the products listed above are legacy products which have a yield as high as 99% and above, at the Mahad site. PEL, in line with its endeavour to continuously improve the social and environmental performance has identified opportunities in terms of energy reduction from utilities. Some of the key initiatives taken during the reporting year to reduce energy and water consumption at manufacturing sites for all of the above products, are as follows:

Reduction in water consumption:

- Usage of spray guns to reduce Demineralised ('DM') water consumption, resulted in saving 102 KL of DM water.

Reduction in energy consumption:

- Installation of capacitors for Air Handling Unit (AHU) motors, resulted in total saving of 13,941 kVAh;
- Installation of timer in cooling system of Ventilation Units, resulted in saving of 44,968 kVAh.

3. Does the Company have procedures in place for sustainable sourcing (including transportation)?

- (a) If yes, what percentage of your inputs were sourced sustainably? Also, provide details thereof, in about 50 words or so.

Yes, PEL endeavours to constantly improve its supply chain performance on social and environmental indicators and has therefore put into place procedures for sustainable sourcing. PEL ensures that sustainable practices are adhered to during activities such as vendor on-boarding, identifying alternative energy sources, outsourcing projects, de-risking processes and waste disposal. The Supply Chain Management ('SCM') originates innovations and initiatives to reduce the carbon footprint from the value chain and oversees their implementation. PEL encourages supply chain partners to adopt sustainable business practices.

The Company also lays emphasis on its CORE programme, to sensitise its supply chain partners about the benefits of effectively managing their performance while also taking into consideration health, safety and the environment.

Sustainable Procurement is embedded into the SCM's approach. Supplier screening is also carried out through the SOP which evaluates suppliers based on material risk assessments, compliance to environmental regulations, labour laws, carbon footprint and health and safety parameters during the procurement process. As a part of PEL's continuous efforts to build stronger relationships across its value chain, periodic supplier meets and virtual vendor meets are organised by the Company. Topics covered in these meets include and are not limited to Environment, Health and Safety ('EHS') engagement activities and patient centricity.

With the help of the above, PEL procured 40% of its goods and services sustainably during the reporting period. Additionally, the following supply chain initiatives were undertaken to reduce carbon footprint:

- i. Plastic waste management was carried out by partnering with approved vendors. This has resulted in savings of 248.40 Metric tons of carbon dioxide equivalent ('CO₂e').
- ii. Replacement of coal with biomass briquette has resulted in savings of 81.76 Metric tons of sulfur dioxide equivalent ('SO₂e').

Sustainability is also covered by way of alternate source development for current global vendors. PEL works to identify critical sources and develop local alternate sources wherever possible. The Company invests in building the capacity of these vendors for long term conversion as the nature of business requires levels of supplier approvals. The focus is to have better control and a localised supply chain in the long run.

4. Has the Company taken any steps to procure goods and services from local & small producers, including communities surrounding their place of work? If yes, what steps have been taken to improve their capacity and capability of local and small vendors?

Yes, PEL makes an effort to source goods and services from local and small producers. Packing materials like paper boards, cartons, leaflets and laminates are sourced from local and small producers which helps the industry to not only sustain supplies but also maintain competitive rates. Various raw materials and excipients are also sourced from local vendors which help in formulations. Further, PEL strives to support the 'Make in India' initiative and wherever possible, uses local supply sources. The Company uses its technical expertise to ensure quality checks and compliance through the sourcing process. The Company increased its spending by almost 58% in FY 2021-22 as against FY 2020-21 in procuring goods and/or services from Micro, Small & Medium Enterprises ('MSME').

PEL helps local vendors to understand various environmental and social aspects of sustainable sourcing through the CORE programme. PEL engages with the vendors on areas such as technological upgradations, process operations, effluent

treatment plants and waste disposal requirements. PEL also conducts specific awareness sessions for local vendors on sustainable business practices. Moreover, as part of the BCFS, vendors are subjected to regular audits to ensure adherence to PEL's standards. Post audit, suppliers are provided with recommendations and advice on norms that they must adhere to. As a part of PEL's endeavour to forge stronger relationships across its value chain, supplier meets are virtually organised where individual improvement opportunities are discussed with supply chain partners.

During the COVID-19 pandemic, local sources helped the Company in catering to supply needs by using their own personal vehicles for transportation due to limited options or lack of availability of transporters.

5. Does the Company have a mechanism to recycle products and waste? If yes what is the percentage of recycling of products and waste (separately as <5%, 5-10%, >10%). Also, provide details thereof, in about 50 words or so.

Mahad site of PEL is certified against ISO 14001:2015 (Environment management system) by an international agency, Bureau Veritas Certification ('BVC'). PEL is committed to managing its waste responsibly. It takes consistent strides to minimise waste generation as defined in its waste management strategy. The purpose is to prevent and reduce, before selecting safe disposal as an option.

PEL currently handles the waste (both non-hazardous and hazardous) as per an internal SOP and hands it over to an authorised agency for further disposition. PEL segregates the waste into various categories viz. hazardous waste, non-hazardous waste, bio-medical and e-waste.

Principle 3: Businesses should promote the well-being of all employees

1. Please indicate the total number of employees.
PEL had a total of 392 employees as on March 31, 2022.
2. Please indicate the total number of employees hired on temporary/ contractual/ casual basis.
PEL had hired 267 employees on temporary/ contractual/ casual basis as on March 31, 2022.
3. Please indicate the number of permanent women employees.
PEL had 60 permanent women employees as on March 31, 2022.
4. Please indicate the number of permanent employees with disabilities.
PEL had 1 permanent employee with disability as on March 31, 2022.
5. Do you have an employee association that is recognised by management?

Yes, PEL has a recognised trade union at Mahad site that represents the interests of the workmen and staff. Employees and staff are encouraged to raise any concerns and participate in a constructive dialogue with management.

BUSINESS RESPONSIBILITY REPORT

6. What percentage of your permanent employees are members of this recognised employee association?

Approximately, 24% of PEL's employees are part of the recognised trade union.

7. Please indicate the number of complaints relating to child labour, forced labour, involuntary labour, sexual harassment in the last financial year and pending, as on the end of the financial year.

The cases filed and pending under different categories are listed below:

Category	No. of complaints filed during the financial year	No. of complaints pending as on end of the financial year
Child labour/ forced labour/ involuntary labour	Nil	Nil
Sexual harassment	Nil	Nil
Discriminatory employment	Nil	Nil

As a responsible organisation, PEL has established policies and processes related to ethical conduct, prevention of sexual harassment and equal opportunity, among others. Further, PEL upholds human rights and enforces a 'zero tolerance' approach towards child labour, forced labour, involuntary labour and sexual harassment.

PEL has a robust grievance handling mechanism in place to safeguard the enactment of these policies.

PEL hosts monthly/quarterly reach-out sessions, town halls and HR connect sessions to provide a platform for employees to share and for the Company to hear their thoughts and concerns. PEL provides a safe and conducive work environment to its employees through these initiatives.

8. What percentage of your under mentioned employees were given safety & skill upgradation training in the last year?

PEL recognises the importance of learning and development of employees and thus provides ample opportunities to its employees for learning and growth. To create a safe workplace, PEL takes consistent efforts for Health & Safety skill upgradation of employees.

At PEL, learning starts from day one through a structured induction at all levels. Programmes related to behavioural, technical/ functional skills, safety, health, environment, product quality, etc., are planned and organised by business learning teams in collaboration with central Learning & Organisational Development ('L&OD') team. There are academies for Information Technology, Human Resources, SCM, Quality, Research & Development, Operation functions at business level. Piramal Learning University virtual campus hosts thousands of e-learning courses.

Additionally, the employees have access to many new age tools for learning.

Percentages of employee categories to whom safety and skill upgradation training were provided during FY 2021-22 are as follows:

Employee category	% of Employees that were given safety training	% of Employees that were given skill up-gradation training
Permanent Employees	100	97
Permanent Women Employees	100	96
Casual/ Temporary/ Contractual Employees	100	100
Employees with disabilities	100	100

Principle 4: Businesses should respect the interests of, and be responsive to the needs of all stakeholders, especially those who are disadvantaged, vulnerable, and marginalised.

1. Has the Company mapped its internal and external stakeholders? Yes/No

Yes, PEL has mapped its internal and external stakeholders who are held in high regard. PEL exercises both formal and informal mechanisms to engage with various stakeholders to understand their concerns and expectations. The internal and external stakeholders of PEL have been listed below:

Internal:

- Employees

External:

- Customers
- Suppliers
- Vendors
- Distributors
- Government
- Policy makers
- Shareholders
- Regulatory bodies
- Investors
- District, block, cluster officials, headmasters and teachers
- Research organisations
- National/International organisations
- Knowledge and academic partners
- CSR Beneficiaries

Platforms to engage with the stakeholders mentioned above include field support, debriefs, meetings, workshops, reviews, brainstorming sessions and panel discussions. During the period under review, many of these sessions were conducted through virtual means considering restrictions on account of the pandemic.

2. Out of the above, has the Company identified the disadvantaged, vulnerable & marginalised stakeholders.

Yes, PEL has identified the stakeholders which need focused intervention. The disadvantaged, vulnerable and marginalised stakeholders, as identified by the Company, are listed below:

- Young mothers
- Adolescent girls
- Infants, neonates, and children under 5 years
- Pregnant women in tribal setups
- Students studying in government primary schools
- Rural community women, parents, and youth.

3. Are there any special initiatives taken by the Company to engage with the disadvantaged, vulnerable, and marginalised stakeholders? If so, provide details thereof, in about 50 words or so.

Yes, the stakeholders are held in high regard and the Company's CSR initiatives are aimed at building trust and mutually rewarding partnerships with internal and external stakeholders who also exhibit some of PEL's core values and form an important part of its journey as a sustainable organisation. Piramal Foundation for Education Leadership as PEL's CSR partner, undertakes, from time to time, various special initiatives to engage with identified disadvantaged, vulnerable and marginalised stakeholders. PEL has consistently focused on wellbeing initiatives in the field of education. The focus is on systemic transformation to enhance the quality of the government education system. Initiatives and programmes are centred around enhancing student learning outcomes and ensuring holistic development of students by engaging with the local community. This will in turn empower students studying in government primary schools and adolescent girls.

Further details regarding PEL's CSR initiatives for the year can be found under Principle 8 of this report.

Principle 5: Businesses should respect and promote human rights

1. Does the policy of the Company on human rights cover only the Company or extend to the Group/ Joint Ventures/ Suppliers/ Contractors/ NGOs/ Others?

PEL recognises the corporate responsibility to respect human rights and is committed to upholding and promoting human rights. PEL's Code of Conduct acts as a guide to maintain this commitment. The Code of Conduct sets standards for employees while engaging with internal stakeholders, as well as external stakeholders like vendors, suppliers and contractors.

PEL strives to respect and promote human rights of all stakeholders impacted by its business operations, including the workforce, contractors, suppliers and communities. The Company has a Sustainable Development Policy that is applicable to all full-time and part-time employees, those on contract, suppliers and vendors of PEL. This policy reinforces PEL's commitment to uphold human rights of all stakeholders across its entire value chain.

Additionally, the BCFS sets standards that suppliers must adhere to. There is a specific requirement for suppliers to respect the

protection of internationally proclaimed human rights. There are also requirements for complying with human rights related issues such as employment practices, fair employment terms and health & safety. Accordingly, the supplier shall use all efforts to ensure that all members of its group of companies and sub-vendors involved in the supply of products and/or services to PEL, comply with the requirements of the BCFS.

2. How many stakeholder complaints have been received in the past financial year on breach of human rights and what percent was satisfactorily resolved by the management?

During the reporting period, there were no complaints pertaining to breach of human rights.

Principle 6: Business should respect, protect, and make efforts to restore the environment

1. Does the policy related to Principle 6 cover only the Company or extends to the Group/ Joint Ventures/ Suppliers / Contractors/ NGOs/ Others.

Protecting and caring for the environment is one of the core commitments of PEL. As a part of this commitment, the Company has formal EHS and Sustainable Development policies in place which provide guidance for the creation of a safe and healthy workplace and a clean environment for multiple stakeholders, specifically employees, the community, suppliers, vendors and business partners. The implementation of the said policies is ensured through a world class, redefined and globally harmonised EHS management system, adequately supported by a well-defined organisational structure. These policies apply to all operating sites.

2. Does the Company have strategies/initiatives to address global environmental issues such as climate change, global warming, etc.? Y/N. If yes, please give hyperlink for webpage etc.

Yes, PEL is committed to addressing global environmental issues by minimising its impact on the environment and maximising the effective use of resources. Sustainability is a business imperative for PEL. Sustainability considerations are ingrained in PEL's strategy and its day-to-day activities. The EHS and Sustainable Development policies guide PEL's efforts to minimise its impact on the environment and create a safe and healthy workplace. The Company also fosters responsible environmental behaviour amongst staff and stakeholders at all levels.

PEL also takes an entrepreneurial approach to sustainability practices that creates a positive impact on society and the business by reducing usage of natural resources such as energy and water and looking for innovative ways to reduce waste.

The positive measures are intended to ensure the Company's long-term viability and value for shareholders and other stakeholders. Another important component of its business obligation is to protect the natural environment and promote community well-being. Additionally, the Company has adopted the CORE programme to manage performance while keeping health, safety and the environment in mind. The CORE programme has contributed significantly to the Company's greater goal of sustainable development. More details on EHS can be found on the website at <https://piramalpharmasolutions.com/environment-health-safety>.

The following are some of the initiatives undertaken to address global environmental issues such as climate change and global warming:

1. Converted a total of 43 split air conditioners and 10 DX units from R-22 refrigerant gas to an eco-friendly refrigerant gas (R-407);
2. Saved 13,900 kVAh per annum by installation of auto temp controller in Cooling Towers and LED light fixtures etc.;
3. Used 115 MT of agro briquettes as fuel for boiler in place of furnace oil. Agro briquettes is a clean natural bio-fuel that has no sulphur content.

3. Does the Company identify and assess potential environmental risks? Y/N

Yes, PEL identifies and assesses various environmental risks. The Company has developed robust and documented Integrated systems (ISO14001:2015 & ISO45001:2018 certified) that implement, measure, monitor and disseminate excellence in environmental performance within its operations. Thus, ensuring the best for the community around.

4. Does the Company have any project related to Clean Development Mechanism? If so, provide details thereof, in about 50 words or so. Also, if yes, whether any environmental compliance report is filed?

At present, PEL doesn't have any projects related to Clean Development Mechanism. However, the Company is committed to establishing long-term goals to reduce water, electricity and fuel consumption. Additionally, the Company is exploring the use of alternative fuels and enhancing the procurement of eco-friendly papers for its offices as per requirement, thereby contributing towards reducing its carbon footprint.

5. Has the Company undertaken any other initiatives on – clean technology, energy efficiency, renewable energy, etc. Y/N. If yes, please give hyperlink for web page etc.

PEL recognises its corporate responsibility of addressing global challenges such as climate change. The Company strives to reduce its greenhouse gas emissions and energy consumption by a significant amount through technology absorption that includes the use of clean technology, promoting energy efficient equipment and energy conservation.

PEL is committed to procuring and using energy in an efficient, cost effective and environmentally responsible manner. Conservation of energy through energy efficient equipment, forms the basis of PEL's energy efficiency initiatives. PEL has installed the latest energy efficient technologies for its operations.

The measures adopted by PEL for conservation of energy at its Mahad Site are contained in the report on Conservation of Energy and Technology Absorption, which forms part of the Board's Report. The weblink to the same is <https://www.piramal.com/investor/overview>.

PEL also implements water conservation initiatives which include installation of ON/OFF control system on chiller plants, optimum usage of water plants, installation of storage tanks for

air compressors, reduction of DM water in equipment cleaning and change over resulting in a reduction in the overall water consumption by 1,675 KL.

6. Are the Emissions/Waste generated by the Company within the permissible limits given by CPCB / SPCB for the financial year being reported?

As a responsible corporate citizen, PEL continues to comply with all the applicable environmental laws and permissible limits set by regulatory authorities in terms of emissions and waste.

7. Number of show cause/legal notices received from CPCB / SPCB which are pending (i.e. not resolved to satisfaction) as on end of Financial Year.

PEL has no pending show cause or legal notices from the Central Pollution Control Board/State Pollution Control Board as on March 31, 2022.

Principle 7: Businesses, when engaged in influencing public and regulatory policy, should do so in a responsible manner

1. Is your Company a member of any trade and chamber or association? If Yes, Name only those major ones that your business deals with:

Yes, PEL is a member of the following trade bodies/associations, among others:

- Confederation of Indian Industry (CII)
- National Safety Council
- World Economic Forum

2. Have you advocated/lobbied through above associations for the advancement or improvement of public good? Yes/No; if yes specify the broad areas (drop box: Governance and Administration, Economic Reforms, Inclusive Development Policies, Energy security, Water, Food Security, Sustainable Business Principles, Others)

Yes, as a responsible organisation, PEL has always advocated constructive suggestions in areas related to societal causes through its association with industrial chambers. The Senior Management of the Company represents PEL in various industry forums. They are cognisant of the responsibility they shoulder as they engage in constructive discussions, which aim to improve public good, without any vested interest. PEL also works towards community development and the advancement of public good through its CSR activities.

Principle 8: Businesses should support inclusive growth and equitable development

1. Does the Company have specified programmes/ initiatives/projects in pursuit of the policy related to Principle 8? If yes details thereof.

As a responsible organisation, focused on inclusive growth, PEL has steadfastly followed a proactive approach towards CSR. The Company's CSR initiatives are aimed at building trust and mutually rewarding partnerships with internal and external stakeholders who also exhibit some of PEL's core values and form an important part of its journey as a sustainable organisation.

The CSR activities undertaken by PEL are guided by the CSR Policy which has been formulated in line with the Company's vision for the welfare of society. The focus areas for CSR projects are decided by the CSR Committee, in line with provisions of the Companies Act, 2013 and in line with emerging societal circumstances and in consideration of changing national priorities of the government. The Company believes that it can play a meaningful role in bringing professionalism, leadership and discipline to projects in pursuit of CSR. The focus is on innovation and playing a crucial role in developing 'out of the box' solutions to seemingly intractable problems.

PEL has embarked on various projects to achieve inclusive growth and equitable development. Piramal Foundation for Education Leadership ('PFEL') is PEL's CSR partner. It undertakes, from time to time, various initiatives to engage with identified disadvantaged, vulnerable and marginalised stakeholders. PFEL is focused on transforming the quality of education in the education system by providing leadership training to headmasters, teachers, community leaders and government education officials. The concept at the centre of the education initiatives is systemic transformation. Key CSR initiatives undertaken during FY 2021-22 are as follows:

Piramal University ('PU'):

This programme intends to address the absence of programmes to build leadership skills of government officials and address sub-optimal government systems and processes that cause roadblocks to deliver services to communities efficiently. It intends to build a cadre of educators and health leaders to optimise institutional processes, practices and governance across 5 states, engaging with over 25,000 education leaders.

Aspirational Districts Collaborative ('ADC'):

ADC is committed to address complex demographic, geographic and socio-economic issues in 112 districts across 28 states by harnessing the power of hyperlocal collaboration between local players and the government, leveraging the power of communities to catalyse behaviour change at scale and speed, and ensure sustainability. It aims to improve the indicators in education and nutrition by developing 20,000 demonstration schools and impact 5 million girl children. Government policy maker, NITI Aayog, is the key partner in this collaboration, along with District Governments of 112 aspirational districts and multiple partners who support capacity building and transformation at scale.

PEL also supports the Gandhi Fellowship Programme, which aims to empower the youth in India, to bring about a positive change at the grassroots level in the field of education.

2. Are the programmes/ projects undertaken through in-house team/ own foundation/ external NGO/ government structures/ any other organisation?

The CSR projects of PEL are carried out through the CSR partner of PEL namely PFEL. PFEL is a Change Management Organisation that aims to bridge the gap in the education system so that children have better life chances. PFEL creates large-scale systemic impact by fostering competent and passionate leaders,

improving systems and processes and embedding technology. Its interventions are implemented through a multi-level partnership with state governments which aim to catalyse the turnaround of failing schools and help education system leaders improve learning levels of students.

3. Have you done any impact assessment of your initiative?

Yes, there is a structured mechanism in place to measure the impact of initiatives undertaken by PEL for CSR. The Company has been voluntarily conducting impact assessments to screen and evaluate select CSR programmes. Programme performance with regards to output and outcome indicators is shared as part of regular programme monitoring. All programmes leverage technology to keep a track of the micro milestones being achieved in the life cycle of the project. Further, the midline and end line evaluations help understand the programme impact better. A beneficiary survey is also conducted to understand the real voice of the beneficiary, besides being able to gather suggestions on improving quality of service delivery. In addition, testimonials of repeat beneficiaries of the programme also help to collect feedback on the effectiveness of the programme.

The individuals associated with the Gandhi Fellowship Programme conduct regular debriefs to discuss the challenges they face, best practices that may be replicated and co-create solutions to mitigate any common problems they may be facing. With regards to the ADC, NITI Aayog conducts and publishes periodic surveys on the development indicators in Aspirational Districts, including the Aspirational Districts where projects in which the Company has invested are under way. Accordingly, at the time of 'impact assessment' to be undertaken by the Company, the reports published by NITI Aayog, where available, may also be relied upon.

4. What is your Company's direct contribution to community development projects – Amount in INR and the details of the projects undertaken?

The Education initiatives were implemented through the Foundation entity, PFEL. An amount of ₹1.15 crores was spent towards State Transformation Programme and ₹1.15 crores was spent towards ADC programme, aggregating to a contribution of ₹2.30 crores towards projects related to promoting education initiatives in FY 2021-22.

Note: CSR contributions towards the Gandhi Fellowship Programme and Piramal University are included in the total contributions mentioned above.

5. Have you taken steps to ensure that this community development initiative is successfully adopted by the community? Please explain in 50 words, or so.

Community is our key stakeholder and we believe that development of the community is only achievable through engagement and partnership with all stakeholders. The guiding principles for engagement with local community are enshrined through robust governance of CSR initiatives. Several review mechanisms are in place to ensure that the initiatives deliver their intended outcomes, while ensuring that they are adopted by the

local community. The local community is made aware about the different education programmes along with their benefits through various means. Further, one-on-one or in-person interactions are regularly conducted through employee volunteering (in different districts) at school management committee level where awareness sessions are undertaken. Feedback from the community is sought and gathered, leading to enrichment in the project functioning and outcomes. A fundamental design feature of the ADC is leveraging the power of communities to catalyse behaviour change at scale and speed.

It is crucial that any solution backed by the Company has the potential to achieve scale and be replicable across large geographies of India. In supporting programmes that have this reach, the Company actively seeks partnerships, with government and private entities, in an open-source relationship that seeks to maximise the impact of its solutions.

Principle 9: Businesses should engage with and provide value to their customers and consumers in a responsible manner

1. What percentage of customer complaints/consumer cases are pending as at the end of financial year?

PEL takes consistent efforts to resolve customer complaints expeditiously. A total of seven consumer cases are pending at the end of financial year under review against the Company.

2. Does the Company display product information on the product label, over and above what is mandated as per local laws? Yes/ No/ N.A./Remarks (additional information)

PEL strives to communicate details for responsible and safe use of its products through product information on the product label. The products manufactured by PEL or by its manufacturing partners are marketed to institutions and/or consumers. PEL adheres to all applicable information and product labelling compliances as per the country of use. The administration and safety profile of products are captured on the trade dress [either label, insert or Summary of Product Characteristics (SMPC)] including relevant legal and metrology rules. Moreover, the products manufactured at Mahad Site are accredited as per various food certification/standards such as United States Food and Drug Administration (USFDA), Food Safety System Certification (FSSC) 22000, ISO 9001, ISO 14001, ISO 45001, Kosher, Majelis Ulama Indonesia (MUI) Halal, Jamiat Ulama Halal, World Health Organisation (WHO), Roundtable on Sustainable Palm Oil (RSPO), Feed Additive and PreMixture System (FAMI QS) and Sedex Members Ethical Trade Audit (SMETA).

3. Is there any case filed by any stakeholder against the Company regarding unfair trade practices, irresponsible advertising and/or anti-competitive behaviour during the last five years and pending as on end of financial year? If so, provide details thereof, in about 50 words or so.

As on March 31, 2022, there are no pending cases against the Company regarding unfair trade practices, irresponsible advertising and/or anti-competitive behaviour, filed by any stakeholder during the last five years.

4. Did your Company carry out any consumer survey/ consumer satisfaction trends?

PEL, one of India's leading corporates with a global footprint, has diversified business interests in Financial Services and Pharmaceuticals. Centred on the purpose of 'Doing Well and Doing Good', PEL endures to create long-term value for its stakeholders and the community at large by:

- Serving people: It aims to serve its customers, community, employees, partners and all other stakeholders by putting their needs and wellbeing first.
- Making a positive difference: It aims to make a positive difference through its products, services, customer-centric approach and innovation-led research.
- Living our values: It lives by its values in everyday actions, decisions and conduct, at personal as well as professional level.

As a purpose driven organisation, PEL is guided by its core values – Knowledge, Action, Care and Impact. Meeting the needs of customers by delivering quality products is of paramount importance to PEL. At PEL, quality is regarded as an integral part of the Company's identity and as one of the most important aspects of its brand that dictates the Company's culture, hires and policies. The Company ensures that products meet the highest quality standards with a three-tier quality governance process. It has a robust & sustainable Quality Management System framework that is implemented across all facilities of PEL and applicable to its suppliers. A quality policy which is forethought with regular reviews, assists in constant improvement and its close alignment to business and regulatory changes. The quality processes are guided by the policy document that ensures quality culture, patient centricity, data integrity and scalable compliance.

PEL has its pulse on evolving consumer needs. Transitioning and evolving from a 'product centric' to a more 'customer centric' business has enabled PEL to meet varied consumer needs. Its pharmaceutical division shares a periodical Customer Satisfaction survey to active customers across all sites. The site heads analyse the responses. Positive responses help PEL in identifying good practices. However, if there are areas of improvement highlighted by the customer, then the site heads endeavour to engage with the customers along with their teams to get a deeper understanding of the gap and put an action plan in place to address it.

The Company continuously engages with stakeholders, including consumers, to understand their expectations and respond to their needs. It enables the Company to identify consumers' current and evolving interests, which are fed into its strategy planning process. The Company is adopting a digital first approach in furthering its customer centric process and capabilities. Newer channels such as mobile applications (WhatsApp) are increasing customer engagement levels, harnessing the power of data analytics to customise and personalise customer experience in real time. The Company also leverages measurement techniques for understanding customer delight, loyalty and satisfaction levels with the Company. The Company is committed to focus on increasing the depth of engagement, which leads to transformational customer journey.